

allow the increased costs to eat into my profit. This reduced earning capacity results in reduced stock prices for Sim's Lemonade Stand.

While my lemonade stand stock may be suffering, some stocks do well during inflation. Again, consumer staples, but also gold stocks, healthcare and material stocks benefit from inflation.

High interest rates

Following a sharp crash in March 2020 at the start of the COVID-19 pandemic, the US stock market rallied (which means it did really well), with returns of 16.26 per cent in 2020 and 26.89 per cent in 2021. One of the biggest contributors to this was that the Fed (the Federal Reserve Bank, which you can imagine as a group of people who decide the interest rates in the US, among other things), decided to drop interest rates to near zero to stimulate economic growth. When you reduce interest rates, borrowing money suddenly gets 'cheaper' for people and businesses. This, in turn, encourages investing.

Changes in interest rates by the Fed take months, even sometimes a year after they're announced to go into effect, but funnily enough, the reaction from investors in the market is almost immediate.

High interest rates on the other hand mean borrowing money becomes more expensive. Companies must make higher payments for their business loans, and consumers have to spend more to pay off higher interest rates for mortgages, car loans and credit card debt. As a result, consumers spend less and companies make less. Which results in a drop in the stock price.

Stocks that do well with high interest rates are in the financial sector — banks, mortgage companies and insurance companies thrive. Remember, with higher interest rates on loans, the companies that provide the loans in the first place now get to ask for more money back.

A rule of thumb: you don't want to fight the Fed. If the Fed says interest rates are going up, the stock market usually takes a hit. When they say rates are going down, stocks jump back up.